

low. (*Ajamian v. CantorCO2e, LP* (2012) 203 Cal.App.4th 771 796.)

Recently, in *Sellers, supra*, 73 Cal.App.5th 444, the Court of Appeal thoroughly discussed the legal landscape regarding the various methods by which contracts are commonly formed online. “ ‘A “clickwrap” agreement is one in which an internet user accepts a website’s terms of use by clicking an “I agree” or “I accept” button, with a link to the agreement readily available.’ “ (*Id.* at 463.) By clicking on “I agree” in a clickwrap agreement, the user is confirming his or her assent to the agreement’s terms. As a result, clickwrap agreements are generally considered enforceable. (*Id.* at 470.)

Here, the Agreement is a contract that was offered on a take-it-or-leave-it basis, which, in itself, “is sufficient to establish some degree of procedural unconscionability.” (*Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 915, 190 Cal.Rptr.3d 812.) Thus, Plaintiff has shown a small level of procedural unconscionability.

Substantive unconscionability examines the fairness of a contract’s terms to ensure that a contract of adhesion does not impose terms that are overly harsh, unduly oppressive, or unfairly one-sided. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126–127.) The court focuses on terms that unreasonably favor the more powerful party, impair the integrity of the bargaining process, contravene public interest or policy, or attempt to impermissibly alter fundamental legal duties. This includes unreasonable or harsh terms or ones that undermine the nondrafting party’s reasonable expectations. (*Id.* at p. 130, 251 Cal.Rptr.3d 714, 447 P.3d 680.) Where there is substantial procedural unconscionability, “even a relatively low degree of substantive unconscionability may suffice to render the agreement unenforceable.” (*Ibid.*) This is particularly true if an employer used “deceptive or coercive” tactics. (*Id.* at pp. 125–126, 251 Cal.Rptr.3d 714, 447 P.3d 680.)

Plaintiff does not provide any evidence or argument that the agreement is substantively unconscionable. Thus, Plaintiff does not provide a sufficient basis for the Court to find that the Arbitration Agreement is unconscionable.

Plaintiff relies extensively on Code Civ. Proc. § 1281.2(c) to urge the Court to deny the petition in light of the presence of an additional defendant, John Doe. That Section provides that the Court shall order arbitration unless it determines that:

(c) A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact.

Section 1281.2(c) does not apply where the arbitration agreement incorporates the FAA's procedural provisions. (See *Acquire II, Ltd. v. Colton Real Estate Group* (4th Dist. Div. 3 2013) 213 Cal.App.4th 959, 968 [FAA did not apply, thus it "did not prevent the trial court from relying on section 1281.2(c) to deny Defendants' motions [to compel arbitration]."]; *Rodriguez v. American Technologies, Inc.* (4th Dist. Div. 3 2006) 136 Cal.App.4th 1110, 1116 [reversing trial court order denying motion to compel arbitration, where parties "expressly agreed the FAA would govern arbitration of disputes under the contract," the trial court "had no discretion to deny the petition to compel arbitration" under section 1281.2(c)].)

This is because the "Federal Arbitration Act (FAA) (9 U.S.C. § 1 et seq.) does not include a provision comparable to section 1281.2(c) and therefore requires courts to enforce written arbitration agreements even if there is pending litigation involving a third party that may result in conflicting rulings." (*Acquire II, Ltd., supra*, 213 Cal.App.4th at 968, citing *Dean Witter Reynolds, Inc. v. Byrd* (1985) 470 U.S. 213, 217.)

The arbitration provision here expressly states that "It is the intent of the parties that the FAA and AAA Rules shall preempt all state laws to the fullest extent permitted by law." (Gaddis Dec., Ex. E.) Thus, following *Rodriguez*, this court is compelled to find that it lacks discretion to refuse to enforce the arbitration provision under CCP section 1281.2(c).

In opposing the motion, Plaintiff cites to *Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158 as authority for finding that Uber has not met its initial burden of showing the parties entered into an enforceable agreement to arbitrate. But the declaration of Todd Gaddis consists of admissible evidence and lays an adequate foundation for submitting the business records relevant to the agreement to arbitrate. Gaddis need not be "personally involved in the transaction" or the custodian of records to be able to access Plaintiff's account. Plaintiff's evidentiary objections are overruled.

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|   |                                                   | <p>Plaintiff also relies on <i>Cullinane v. Uber Technologies, Inc.</i> (1st Cir. 2018) 893 F.3d 53, 56-64 in arguing that the arbitration agreements are invalid because Plaintiff was not provided with “reasonable notice” of them. <i>Cullinane</i>, however, is inapposite and not binding on this Court as it involved the application of Massachusetts contract law. (<i>Id.</i> at 61.) Instead, <i>Meyer v. Uber Techs., Inc.</i> (2d Cir. 2017) 868 F.3d 66 is more instructive since it involved the application of California law. (<i>Id.</i> at 74 [“We agree with the district court’s determination that California state law applies, and note that New York and California apply “substantially similar rules for determining whether the parties have mutually assented to a contract term.”] In <i>Meyer</i>, the Court held that Uber “provided reasonably conspicuous notice of the terms of service, which included arbitration clause” and that the “consumer unambiguously manifested his assent to be bound by terms of service. (<i>Id.</i> at 66.) Further, federal district courts in California have rejected the reasoning of <i>Cullinane</i> in cases involving Uber. (<i>In re Uber Technologies, Inc.</i> (C.D. Cal., Aug. 19, 2019, No. CV183169PSGGJSX) 2019 WL 6317770, at *4; <i>West v. Uber Technologies</i> (C.D. Cal., Sept. 5, 2018, No. 18-CV-3001-PSG-GJS) 2018 WL 5848903, at *4.)</p> <p>Accordingly, the petition is granted and this action is stayed pending completion of arbitration.</p> <p>A status conference regarding arbitration is set for February 6, 2024, at 9:00 a.m. in Department N16.</p> <p>Moving party to give notice.</p> |
| 2 | Zimmerer v. O’Connell Landscape Maintenance, Inc. | <b>OFF CALENDAR</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| 3 | Reitz v. General Motors, LLC                      | <b>OFF CALENDAR</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| 4 | Jackson v. Coldwell Banker, LLC                   | <p><b>TENTATIVE RULING:</b></p> <p>For the reasons set forth below, the Motion to be Relieved as Counsel, filed by Sarah Serpa of Serpalaw, counsel for Plaintiffs Carlos Jackson, Bianca Jackson, and Dominique Jackson is DENIED as moot.</p> <p>On July 12, 2023, Sarah Serpa of Serpalaw, counsel for Plaintiffs Carlos Jackson, Bianca Jackson, and Dominique Jackson filed a motion to be relieved as counsel. In Serpa’s declaration, she</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |